

The whole tree, in one page

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	•Capital requirements apply to both sides of a collateralised transaction	CRE22.30
	•Simple approach: the collateral's risk weight replaces the counterparty's	CRE22.32
	•Simple approach: collateral pledged for life of exposure, revalued at least six-monthly, 20% risk-weight floor minimum revaluation frequency of six months	CRE22.33
	•Eligible financial collateral (simple approach): cash, gold, and debt rated at least BB- (sovereign), BBB- (other) or A-3/P-3 (short-term) at least	CRE22.34
	•Unrated bank debt securities eligible as collateral subject to six cumulative conditions at least BBB- or A-3/P-3 for same-seniority...	CRE22.35
	•Eligible collateral where external ratings are banned: sovereign/PSE, Grade A bank, investment-grade and sub-100% securitisation securities	CRE22.36
	•Main index equities and qualifying UCITS/mutual funds are eligible collateral daily publicly quoted price	CRE22.34
	•Resecuritisations are not eligible financial collateral	CRE22.35
	•Eight conditions exempting repo-style transactions from the simple-approach risk-weight floor 0% risk weight collateral · eight cumulative conditions	CRE22.36
	•Close-out after failure to remargin must be no more than four business days no more than four business days	CRE22.36
	•0% risk weight for same-currency cash collateral, or 0%-weighted sovereign/PSE collateral discounted by 20% 0% risk weight · 20% floor disapplied	CRE22.37
	•Comprehensive approach: supervisory haircuts must be applied to both exposure and collateral	CRE22.40
	•Definition of the holding period underlying supervisory haircuts	CRE22.41
	•Holding periods of 5 business days (remargined repo-style) and 20 business days (secured lending) 5-business day holding period (repo-style),...	CRE22.42
	•Additional haircut required where exposure and collateral are in different currencies	CRE22.43
	•Comprehensive approach adds non-index listed equities and funds holding them to the eligible collateral list	CRE22.45
	•Adjusted exposure is multiplied by the counterparty risk weight	CRE22.48
	•Supervisory haircuts assume daily mark-to-market, daily remargining and a 10-business day holding period 10-business day holding period · daily mark-to-market	CRE22.49
	•Supervisory haircut table for debt securities (external ratings permitted) 0.5% (AAA-AA- sovereign, <= 1 year) · 2% /...	CRE22.49
	•20% haircut for main index equities and gold, 30% for other listed equities 20% haircut (main index equities and gold)...	CRE22.49
	•Supervisory haircut table for debt securities where external ratings are banned 0.5% (0% risk weight issuer, <= 1 year) · 2...	CRE22.50
	•Zero haircut for same-currency cash; 30% for other exposure types 0% haircut (cash in the same currency) · 30...	CRE22.50
	•Definitions used in the supervisory haircut tables 0% risk weight MDBs treated as sovereigns	CRE22.51
	•30% haircut where the bank posts non-eligible instruments; no CRM where it borrows them 30% haircut on exposure · zero CRM recognition	CRE22.54
	•Haircut on a basket of collateral is the weighted average of component haircuts $H = \text{sum of } a_i \cdot H_i \text{ (weighted average)}$	CRE22.55
	•Illiquid collateral forces a 20-business day minimum holding period 20 business days minimum holding period · t...	CRE22.58
	•Haircuts must be scaled from the 10-business day default by the actual remargining frequency $10\text{-business day default haircut} \cdot H = H_{10} \cdot \dots$	CRE22.59
	•Zero haircut permitted for qualifying repo-style transactions with core market participants haircut of zero	CRE22.60
	•Conditions for recognising bilateral netting of SFTs four cumulative conditions	CRE22.62
	•Netting across banking and trading book requires daily marking and banking-book-eligible collateral daily mark to market	CRE22.63
	▼ Guarantees and credit derivatives	4
	•CRM documentation must be binding and legally enforceable in all relevant jurisdictions	CRE22.9
	•Currency mismatches allowed under all approaches; simple approach relies on the 20% floor 20% risk weight floor	CRE22.15
	•Only lower-risk-weight protection providers reduce capital; uncovered portion keeps counterparty weight	CRE22.23
	•An agent guaranteeing a repo-style transaction must hold capital as principal	CRE22.31
	▼ On-balance sheet netting	4
	•Net credit exposures may be used where enforceable loan/deposit netting exists	CRE22.21
	•Netting sets exceeding 5,000 trades in a quarter must use a 20-business day holding period 5,000 trades threshold · 20 business day minimum holding period	CRE22.22
	•More than two margin call disputes in two quarters doubles the minimum holding period more than two margin call disputes · previous holding period	CRE22.58
	•Four conditions for netting loans against deposits for capital purposes four cumulative conditions	CRE22.68
	▼ Maturity mismatch and currency mismatch	8
	•Definition of a maturity mismatch	CRE22.10
	•Maturity mismatches are not allowed under the simple approach	CRE22.11
	•Mismatched protection recognised only if original maturity at least one year and residual at least three months $\text{original maturity} \geq 1 \text{ year} \cdot \text{residual} \geq 3 \text{ months}$	CRE22.12
	•Maturity mismatch adjustment with a five-year cap on exposure maturity $\text{five years cap on } T \cdot t = \min\{T, \text{residual maturity}\}$	CRE22.13
	•Comprehensive approach formula for exposure after risk mitigation $E^* = \max\{0, E(1+H_e) - C(1-H_c-H_{fx})\}$	CRE22.46
	•Collateral value must be adjusted for maturity mismatch	CRE22.47
	•Currency mismatch haircut of 8% for collateral 8% currency mismatch haircut · 10-business-day holding period	CRE22.52
	•On-balance sheet netting: loans as exposure, deposits as collateral, zero haircuts except currency mismatch zero haircut (no currency mismatch) · 10-business-day holding period	CRE22.53
	•Scope: the CRM framework applies to banking book exposures risk-weighted under the standardised approach	CRE22.2
	•CRM may never increase the capital requirement	CRE22.3
	•CRM capital relief is conditional on meeting the Pillar 3 disclosure standard	CRE22.4
	•CRM effects must not be double-counted	CRE22.5
	•Banks must control the residual risks created by CRM or face additional capital charges	CRE22.6
	•Maturities of exposure and hedge must be measured conservatively	CRE22.14
	•A bank may use either the simple or the comprehensive approach in the banking book, not both	CRE22.19

	•Definition of core market participants 20% risk weight eligibility for other finan...	CRE22.37
	•Qualifying repo transactions receive 10% risk weight, or 0% with a core market participant 10% risk weight · 0% risk weight for core m...	CRE22.38
	•Minimum holding periods: 5, 10 and 20 business days by transaction type five business days (repo-style) · 10 busine...	CRE22.57
	▼ Securitisation exposures	0 not yet extracted
	Definitions and scope	0
	Revolving securitisations and early amortisation	0
	Significant risk transfer and operational requirements	0
	Implicit support	0
	Simple, transparent and comparable criteria	0
	Capital calculation hierarchy	0
	▼ High-quality liquid assets	20
	▼ Characteristics and operational requirements	5
	•Periodic monetisation of a representative proportion of HQLA	LCR30.15
	•Definition of unencumbered for HQLA eligibility	LCR30.16
	•HQLA must be under the control of the liquidity management function 30-day stress period	LCR30.18
	•Assets received under right of rehypothecation excluded when withdrawable within 30 days 30-day stress period	LCR30.24
	•30 calendar-day grace period when an HQLA asset becomes ineligible additional 30 calendar days	LCR30.28
	▼ Level 1 assets	3
	•Level 1 assets carry no haircut and no cap 0% haircut on Level 1	LCR30.40
	•Level 1 assets include coins, banknotes and drawable central bank reserves	LCR30.41
	•Level 1 marketable securities must carry a 0% standardised risk weight 0% risk weight	LCR30.41
	▼ Level 2A assets	4
	•Level 2 assets no more than 40% of overall stock after haircuts 40% of overall stock	LCR30.42
	•15% haircut on Level 2A assets 15% haircut	LCR30.43
	•Level 2A sovereign, PSE and MDB securities must carry a 20% risk weight 20% risk weight · 10% maximum price decline	LCR30.43
	•Level 2A corporate debt and covered bonds require a rating of at least AA- at least AA- rating	LCR30.43
	▼ Level 2B assets	6
	•Level 2B inclusion is at national discretion	LCR30.44
	•Eligible RMBS included in Level 2B subject to a 25% haircut 25% haircut	LCR30.45
	•Level 2B RMBS underlying mortgages must be full recourse with maximum 80% average LTV at issuance 80% maximum average LTV · full recourse	LCR30.45
	•Level 2B corporate debt securities subject to a 50% haircut 50% haircut · at least BBB- rating	LCR30.45
	•Level 2B common equity shares subject to a 50% haircut 50% haircut · 40% maximum price decline	LCR30.45
	•Restricted-use committed liquidity facility must carry a commitment fee of at least 75bp 75 basis points per annum · 25 basis points...	LCR30.46
	•Numerator must be unencumbered HQLA covering 30-day net outflows 30-day period	LCR30.1
	•HQLA stock should be diversified within asset classes	LCR30.29
	Trading book and market risk	0 out of scope
	Operational risk	0 not yet extracted
	▼ Liabilities and funding	75
	▼ Deposits	26
	▼ Retail deposits – stable · 3-5% run-off	11
	•Retail deposits defined as deposits placed by a natural person	LCR40.5
	•Retail deposit run-off rates are minimum floors stable and less stable buckets	LCR40.6
	•Stable retail deposits receive a 5% run-off factor 5% run-off factor	LCR40.7
	•Fully insured means 100% of the deposit amount up to the insurance limit 100% of the deposit amount · deposit insura...	LCR40.7
	•Definition of an effective deposit insurance scheme	LCR40.8
	•Optional 3% run-off rate for stable deposits with prefunded deposit insurance 3% run-off rate · seven business days	LCR40.11
	•Jurisdictions applying 3% must evidence sub-3% historical stable-deposit run-off 3% run-off rate	LCR40.12
	•Less stable retail deposits carry a minimum 10% run-off rate minimum run-off rate of 10%	LCR40.13
	•Deposits that cannot be identified as stable must be placed in the less stable bucket	LCR40.14
	•Retail term deposits beyond 30 days may be excluded from outflows greater than 30 days · 0% run-off if exclud...	LCR40.16
	•Waiving early-withdrawal penalties contaminates the entire term deposit category	LCR40.17
	Retail deposits – less stable · 10%+	0
	▼ Small business customer deposits	4
	•Small business customer funding treated the same as retail deposits same 5%/10% retail buckets	LCR40.22
	•Small business customer defined by CRE30 retail management and a EUR 1 million aggregate funding limit EUR 1 million aggregate funding limit	LCR40.22
	•Bank-issued debt securities treated as wholesale unless restricted to retail holders 100% otherwise; retail rates if restricted	LCR40.43
	•50% inflow rate on fully performing retail and small business loan payments 50% inflow of contractual amount · 50% assu...	LCR40.86
	▼ Wholesale – operational deposits · 25%	3
	•Qualifying operational deposits receive a 25% run-off factor 25% run-off factor	LCR40.26
	•Excess balances above operational need do not qualify for the 25% factor 25% factor	LCR40.29
	•Insured portion of operational deposits treated as stable retail deposits stable retail treatment (5% or 3%)	LCR40.36

└─ Wholesale – non-operational · 40% / 100%	0
└─ ▼ Funding from financial institutions · 100%	3
· Non-operational funding from financial institutions and other entities runs off at 100% 100% run-off factor	LCR40.42
· Wholesale inflow rates: 100% from financial institutions and central banks, 50% from non-financial wholesale 100% inflow from financial institutio	
· Maturing HQLA counted in the stock must not also be counted as inflows 100% inflow for non-HQLA securities · 30 da...	LCR40.88
· Only fully performing exposures may generate cash inflows 30-day time horizon	LCR40.75
· Inflows capped at 75% of outflows, implying a minimum HQLA of 25% of gross outflows 75% cap on inflows · minimum HQLA of 25% of...	LCR40.77
· Zero inflow from credit, liquidity and contingent facilities the bank holds at other institutions 0% inflow rate	LCR40.82
· Revolving credit facilities: assume rollover of drawn balance and treat undrawn balance as a committed facility 0% inflow on rolled-over revolving bal	
· Open-maturity and 30-day-terminable loans generate no inflow except contractual minimum payments 30 days · minimum payments only	LCR40.85
└─ ▼ Secured funding and repo	2
· Secured funding backed by Level 1 assets or with the domestic central bank runs off at 0%; Level 2 at the asset haircut 0% for Level 1 · 15% for Level	
· All other maturing secured funding runs off at 100% 100% for all others · 50% for other Level 2B	LCR40.48
└─ ▼ Net stable funding ratio	47
└─ ▼ Available stable funding	3
· NSFR minimum of 100% on an ongoing basis 100% minimum ratio · one-year horizon	NSF20.2
· Definition of available stable funding one-year time horizon	NSF20.2
· Securities financing transactions reported gross unless LEV30 netting conditions are met	NSF30.22
└─ ▼ Required stable funding	28
· Definition of required stable funding	NSF20.2
· Banks assumed to roll over a significant proportion of maturing loans	NSF30.3
· RSF computed as carrying value times RSF factor plus weighted off-balance sheet exposures	NSF30.15
· RSF factors approximate the amount of an asset that must be funded over one year over the course of one year	NSF30.16
· Unencumbered loans without a stated final maturity deemed over one year and given 65% or 85% RSF 65% RSF factor · 85% RSF factor	NSF30.17
· Reduced RSF for exceptional central bank operations floored at 5% 5% RSF floor · residual maturity equal to o...	NSF30.18
· RSF for encumbered assets: 100% at one year, 50% floor between six months and one year 100% RSF factor · 50% RSF factor	NSF30.20
· Assets with under six months of encumbrance remaining may be treated as unencumbered less than six months remaining encumbrance	NSF30.20
· 0% RSF for cash, central bank reserves and short-dated central bank claims 0% RSF factor · residual maturities of less...	NSF30.25
· 5% RSF for unencumbered Level 1 assets 5% RSF factor · 0% risk weight under CRE20	NSF30.26
· 10% RSF for sub-six-month loans to financial institutions secured by Level 1 assets 10% RSF factor · residual maturities of les...	NSF30.27
· 15% RSF for unencumbered Level 2A assets 15% RSF factor · 20% risk weight under CRE20	NSF30.28
· 15% RSF for other sub-six-month loans to financial institutions 15% RSF factor · residual maturities of les...	NSF30.28
· 50% RSF for unencumbered Level 2B assets 50% RSF factor · credit rating of at least...	NSF30.29
· 50% RSF for loans to financial institutions and central banks maturing in six to twelve months 50% RSF factor · between six months and les...	NSF30.29
· 50% RSF for non-HQLA with residual maturity under one year, including retail and small business loans 50% RSF factor · residual maturity of less...	
· 65% RSF for residential mortgages of one year or more with 35% or lower risk weight 65% RSF factor · 35% or lower risk weight	NSF30.30
· 65% RSF for other long-dated loans qualifying for a 35% or lower risk weight 65% RSF factor · 35% or lower risk weight	NSF30.30
· 85% RSF for long-dated performing loans not qualifying for a 35% or lower risk weight 85% RSF factor · 35% or lower risk weight (...)	NSF30.31
· 85% RSF for long-dated non-HQLA securities and exchange-traded equities 85% RSF factor · remaining maturity of one...	NSF30.31
· Definition of performing loans for RSF purposes past due more than 90 days	NSF30.31
· 100% RSF for assets encumbered for one year or more 100% RSF factor · encumbered for a period o...	NSF30.32
· 100% RSF for assets without a stated maturity 100% RSF factor · effectively mature in les...	NSF30.32
· 100% RSF for non-performing loans and other residual assets 100% RSF factor · residual maturity of one...	NSF30.32
· RSF assigned to off-balance sheet activities for exposures likely to be funded within one year one-year horizon	NSF30.33
· Off-balance sheet exposures categorised by facility type consistent with the LCR	NSF30.34
· 5% RSF on the undrawn portion of irrevocable and conditionally revocable credit and liquidity facilities 5% RSF factor · currently undrawn portio	
· National supervisors set RSF factors for other contingent funding obligations including unconditionally revocable facilities	NSF30.34
└─ ▼ Interdependent assets and liabilities	3
· Definition of interdependent assets and liabilities	NSF30.35
· Interdependent items may be assigned 0% RSF and 0% ASF subject to four criteria 0% RSF factor · 0% ASF factor	NSF30.35
· Interdependent treatment must be transparently set out in national regulation	NSF30.37
· NSFR must be reported at least quarterly at least quarterly	NSF20.3
· Longer-term liabilities assumed more stable than short-term	NSF30.2
· Retail and small business funding assumed more stable than wholesale maturing in less than one year	NSF30.2
· Stable funding required for a proportion of real-economy lending	NSF30.3
· Short-dated assets require a smaller proportion of stable funding maturing in less than one year	NSF30.3
· Off-balance sheet commitments require additional stable funding	NSF30.4
· Asset carrying value is accounting value net of specific provisions	NSF30.15
· Standardised approach risk weights must be used for NSFR regardless of IRB status	NSF30.15
· HQLA for NSFR purposes ignores LCR operational requirements and Level 2 caps	NSF30.15
· Assets allocated to maturity buckets by contractual residual maturity	NSF30.16

•Assume investors exercise any option to extend asset maturity	NSF30.17
•Amortising loans may split the portion due within one year into the short bucket one-year horizon • less-than-one-year bucket	NSF30.17
•Supervisors may allow the next review date to be used as maturity date	NSF30.17
▼ Off-balance sheet	96
▼ Credit conversion factors	44
▼ Unconditionally cancellable commitments • 10% CCF	7
•10% CCF for unconditionally cancellable commitments including credit card lines 10% CCF	CRE20.100
•Supervisors may impose a higher CCF where cancellation is constrained in practice	CRE20.100
•Scope of off-balance sheet items, including unconditionally cancellable commitments	LEV30.45
•Unconditionally cancellable arrangements are commitments	LEV30.47
•10% CCF for unconditionally cancellable commitments 10% CCF	LEV30.54
•Worked CCF outcomes for nested commitments: 10% instead of 100%, 20% instead of 40% 10% CCF instead of 100% CCF • 20% CCF inste...	LEV30.55
•Definition of a commitment, expressly including unconditionally cancellable arrangements	CRE20.94
▼ Other commitments • 40% CCF	2
•40% credit conversion factor for commitments generally 40% CCF	CRE20.98
•40% CCF for commitments generally 40% CCF	LEV30.52
▼ Direct credit substitutes • 100% CCF	2
•100% credit conversion factor for direct credit substitutes and similar items 100% CCF	CRE20.95
•100% CCF for direct credit substitutes 100% CCF	LEV30.49
▼ Transaction-related contingents • 50% CCF	4
•50% CCF for note issuance and revolving underwriting facilities 50% CCF	CRE20.96
•50% CCF for transaction-related contingent items 50% CCF	CRE20.97
•50% CCF for note issuance and revolving underwriting facilities 50% CCF	LEV30.50
•50% CCF for transaction-related contingent items 50% CCF	LEV30.51
▼ Trade-related contingents • 20% CCF	2
•20% CCF for short-term self-liquidating trade letters of credit 20% CCF • maturity below one year	CRE20.99
•20% CCF for short-term self-liquidating trade letters of credit 20% CCF	LEV30.53
•OBS items accounted for as derivatives take the derivative treatment	LEV30.45
•CCFs applied to the notional amount of OBS items	LEV30.46
•OBS conversion formula: committed but undrawn amount times CCF exposure = committed but undrawn amount x C...	LEV30.47
•Definition of commitment for leverage purposes	LEV30.47
•Conditionally cancellable arrangements are also commitments	LEV30.47
•National discretion to exempt certain arrangements from the commitment definition four cumulative exemption conditions (i)-(i...	LEV30.47
•Exempted arrangements confined to closely monitored corporate and SME counterparties	LEV30.47
•Provisions against OBS exposures deducted after the CCF is applied	LEV30.48
•Total OBS equivalent amount floored at zero floor of zero on total OBS equivalent amount	LEV30.48
•100% CCF for forward asset purchases and commitments with certain drawdown 100% CCF	LEV30.49
•100% CCF for unsettled financial asset purchases under settlement date accounting 100% CCF	LEV30.49
•100% CCF catch-all for uncategorised credit substitutes 100% CCF	LEV30.49
•Supervisors should consider a higher CCF where cancellation is constrained in practice higher CCF than 10% at supervisory discreti...	LEV30.54
•Lower of two applicable CCFs for an undertaking to provide a commitment	LEV30.55
•OBS securitisation exposures follow CRE40.20(2)	LEV30.56
•G-SIB leverage ratio buffer met with Tier 1 capital	LEV40.1
•G-SIB leverage buffer set at 50% of the higher loss-absorbency requirement 50% of higher loss-absorbency requirement •...	LEV40.2
•Capital distribution constraints tied to a 3% leverage minimum plus buffer 3% leverage ratio minimum • 4.5% CET1 minim...	LEV40.4
•Leverage ratio conservation bands from 3% to 3.50% 3%-3.125% band: 100% earnings retention • >...	LEV40.5
•Off-balance sheet items convert to exposure via credit conversion factors	CRE20.94
•National discretion to exempt certain arrangements from the commitment definition	CRE20.94
•Apply the lower of two applicable CCFs for a commitment on an off-balance sheet item 10% CCF instead of 100% CCF (worked example...	CRE20.101
•1250% aggregation cap for first-to-default credit derivative protection sold maximum of 1250%	CRE20.103
•Definition of a defaulted exposure: more than 90 days past due past due for more than 90 days	CRE20.104
•Distressed restructuring is a default event	CRE20.104
•Account-specific provision or write-off is a default event	CRE20.104
•Retail default may be assessed per obligation rather than per borrower	CRE20.105
▼ Undrawn facilities under the liquidity standard	23
•100% outflow for collateral or cash triggered by up to a 3-notch downgrade 100% outflow • 3-notch downgrade	LCR40.51
•100% outflow on bank-issued ABS, covered bonds and structured financing maturing within 30 days 100% outflow	LCR40.57
•100% of maturing amount and 100% of returnable assets for ABCP and conduit financing 100% of maturing amount • 100% of returnabl...	LCR40.58
•Definition of credit and liquidity facilities; unconditionally revocable facilities excluded	LCR40.59
•Facilities assumed drawn must be assumed to remain outstanding without repayment	LCR40.59
•Undrawn facility amounts may be netted against HQLA collateral posted by the counterparty	LCR40.60

•Definition of a liquidity facility as a backstop for customer debt refinancing 30-day maturing debt backstopped	LCR40.61
•General working capital and revolving corporate facilities are credit, not liquidity, facilities 10% credit facility rate instead of 30%	LCR40.61
•All contractual and estimated drawdowns within 30 days must be reflected as outflows 30-day period	LCR40.64
•5% drawdown on undrawn committed credit and liquidity facilities to retail and small business customers 5% drawdown of undrawn portion	LCR40.64
•10% drawdown on committed credit facilities to non-financial corporates, sovereigns, PSEs and MDBs 10% drawdown of undrawn portion	LCR40.64
•30% drawdown on committed liquidity facilities to non-financial corporates, sovereigns, PSEs and MDBs 30% drawdown of undrawn portion	LCR40.64
•40% drawdown on committed credit and liquidity facilities to prudentially supervised banks 40% drawdown of undrawn portion	LCR40.64
•40% drawdown on committed credit facilities to other financial institutions 40% drawdown of undrawn portion	LCR40.64
•100% drawdown on committed liquidity facilities to other financial institutions 100% drawdown of undrawn portion	LCR40.64
•100% drawdown on committed facilities to SPEs, conduits and other legal entities 100% drawdown of undrawn portion	LCR40.64
•Committed facilities means irrevocable facilities	LCR40.64
•100% outflow on contractual lending obligations to financial institutions 100% outflow rate	LCR40.65
•Contractual lending obligations to retail and non-financial clients above 50% of contractual inflows create a 100% outflow 50% of contractual inflows	
•Run-off rates for other contingent funding obligations set at national discretion	LCR40.67
•Trade finance contingent obligations may receive a run-off rate of 5% or less 5% or less run-off rate	LCR40.71
•Unconditionally revocable uncommitted credit and liquidity facilities are other contingent funding obligations at nationally set rates	LCR40.73
•Other contractual cash outflows at 100% 100% outflow · 30 calendar days	LCR40.74
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•Exposure measure follows gross accounting values	LEV30.1
•No credit risk mitigation or asset/liability netting in the exposure measure	LEV30.2
•Items deducted from Tier 1 may also be deducted from the exposure measure	LEV30.3
•IRB provision shortfall deducted from Tier 1 may be deducted from the exposure measure	LEV30.3
•Liability items must not be deducted from the exposure measure	LEV30.4
•Securitised exposures may be excluded only if risk transference is recognised	LEV30.5
•Non-qualifying and synthetic securitisations stay in the exposure measure	LEV30.5
•Vigilance against exposure-measure-minimising structures	LEV30.6
•Supervisors may impose a Pillar 2 charge on leverage-minimising structures	LEV30.6
•National discretion to exempt central bank reserves, with offsetting recalibration temporary exemption of central bank reserve...	LEV30.7
•All balance sheet assets included in the exposure measure	LEV30.8
•Fiduciary assets excludable if derecognition criteria are met	LEV30.8
•On-balance sheet non-derivative assets at accounting value less specific provisions	LEV30.9
•General provisions that reduced Tier 1 may be deducted from the exposure measure	LEV30.9
•CAP10.18 general-provision definition applies to SA and IRB banks alike for leverage	LEV30.9
•Settlement date accounting routed to the off-balance sheet treatment	LEV30.11
•Daily-transfer cash pooling measured on the single net account balance transfer at least on a daily basis	LEV30.12
•Failed cash pooling conditions force gross inclusion of individual balances	LEV30.12
•Derivative exposure = replacement cost plus potential future exposure	LEV30.13
•Alpha multiplier of 1.4 on derivative RC plus PFE $\alpha = 1.4 \cdot 1.4 \times (RC + PFE)$	LEV30.14
•PFE multiplier fixed at one for leverage purposes PFE multiplier = 1	LEV30.16
•Collateral received cannot reduce the derivative exposure measure	LEV30.22
•Gross-up for derivatives collateral provided	LEV30.23
•Written credit derivatives included at effective notional amount	LEV30.31
•SFT exposure as principal: gross SFT assets plus a counterparty credit measure	LEV30.37
•SFT cash payable/receivable netting only under three strict conditions	LEV30.37
•Reverse sale accounting for SFTs achieving derecognition	LEV30.40
•Agent SFT with indemnity: only the counterparty credit measure applies	LEV30.42
•Agent economically exposed beyond the guarantee must include the full amount	LEV30.43
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▼ Common Equity Tier 1	11
•Regulatory capital consists of three categories 3 capital categories	CAP10.1
•Definition of Total regulatory capital and Tier 1 capital	CAP10.2
•Predominant form of Tier 1 must be common shares and retained earnings	CAP10.3
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•Interim profit or loss is included and dividends removed from CET1	CAP10.7
•Prior supervisory approval for instruments with non-cash, non-share dividends	CAP10.5
•Minority interest recognised in CET1 only if issued by a bank subsidiary	CAP10.20
•Minority interest surplus measured against 7.0% CET1 including the buffer 7.0% CET1 including conservation buffer	CAP10.21
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	•Additional Tier 1 instruments callable only after five years and with approval minimum 5 years to first call	CAP10.11
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	•General provisions in Tier 2 capped at 1.25% of standardised credit RWA 1.25 percentage points of standardised cred...	CAP10.18
	•Provisions against identified deterioration are excluded from Tier 2	CAP10.18
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	•Goodwill and other intangibles deducted from CET1	CAP30.7
	•Deferred tax assets relying on future profitability deducted from CET1	CAP30.9
	•Operating-loss DTAs deducted in full without threshold benefit 100% deduction · no 10% threshold benefit	CAP30.9
	•Cash flow hedge reserve derecognised in CET1	CAP30.11
	•Shortfall of provisions to expected losses deducted from CET1	CAP30.13
	•Securitisation gain on sale deducted from CET1	CAP30.14
	•Own credit risk gains and losses derecognised in CET1	CAP30.15
	•Defined benefit pension fund net assets deducted from CET1	CAP30.16
	•Investments in own common shares deducted from CET1	CAP30.18
	•Reciprocal cross-holdings of capital deducted in full 100% deduction	CAP30.21
	•Underwriting positions held five working days or less may be excluded 5 working days	CAP30.22
	•Non-G-SIB holdings of other TLAC liabilities below 5% of common equity 5% of common equity (gross long) · 10% thre...	CAP30.25
	•Non-significant financial holdings above 10% of common equity deducted 10% of common equity threshold	CAP30.26
	•Deduction shortfall cascades to the next higher tier of capital	CAP30.27
	•Amounts not deducted continue to be risk weighted	CAP30.28
	•Definition of a significant investment in an unconsolidated financial entity more than 10% of issued common share capita...	CAP30.29
	•Non-common-share investments in significant holdings fully deducted 100% deduction	CAP30.30
	•Threshold items each capped at 10% of common equity 10% of common equity per item	CAP30.32
	•The three threshold deduction items 3 specified items	CAP30.32
	•Aggregate threshold items capped at 15% of CET1 15% of CET1 aggregate cap	CAP30.33
	•The 15% aggregate cap is applied as a 17.65% multiplier 17.65% multiplier · 15%/85%	CAP30.33
	•Non-deducted threshold items risk weighted at 250% 250% risk weight	CAP30.34
	•DTAs automatically converted to refundable tax credits risk weighted at 100% 100% risk weight	CAP30.34
	•Minimum TLAC requirements apply only to G-SIBs	CAP30.2
▼	Minimum capital ratios	13
	•Minimum Common Equity Tier 1 ratio of 4.5% of RWA 4.5% CET1 / RWA	RBC20.1
	•Minimum Tier 1 capital ratio of 6% of RWA 6% Tier 1 / RWA	RBC20.1
	•Minimum Total capital ratio of 8.0% of RWA 8.0% Total capital / RWA	RBC20.1
	•Capital conservation buffer of 2.5% of RWA sits above the minimums 2.5% CET1 conservation buffer · 7.0% effect...	RBC20.1
	•Capital used in the ratios must be net of regulatory adjustments	RBC20.2
	•RWA for compliance is the higher of nominated-approach RWA and the output floor	RBC20.4
	•Output floor at 72.5% of standardised RWA 72.5% of standardised RWA	RBC20.4
	•Credit RWA for banking book exposures uses the standardised or IRB approach	RBC20.6
	•1250% risk weight fallback for securitisation exposures 1250% risk weight	RBC20.6
	•Operational risk RWA uses only the standardised approach	RBC20.10
	•Base of the output floor uses the standardised approach for credit risk	RBC20.11
	•IRB and internal models may not be used in the output floor base	RBC20.12
	•A jurisdiction implementing only standardised approaches is compliant	RBC20.14
▼	Buffers above the minimum	35
▼	Capital conservation buffer · 2.5%	7
	•Capital conservation buffer of 2.5% must be met with CET1 2.5% CET1 conservation buffer	RBC30.2
	•CET1 counts toward the buffer only after the minimums are met 6% Tier 1 · 8% Total capital	RBC30.2
	•No positive net distributions where earnings are negative and CET1 is below 7% CET1 < 7% · zero positive net distributions	RBC30.5
	•Countercyclical buffer implemented as an extension of the conservation buffer	RBC30.16
	•Twelve months to meet an increased G-SIB surcharge 12 month grace period	RBC40.6
	•Capital remediation plan on breach of the G-SIB surcharge	RBC40.3
	•D-SIB surcharge implemented as a four-band extension of the conservation buffer four equal bands	RBC40.23
▼	Countercyclical buffer · 0-2.5%	8
	•National countercyclical buffer varies between zero and 2.5% of RWA 0% to 2.5% of RWA	RBC30.9
	•Mandatory reciprocity capped at a 2.5% countercyclical buffer 2.5% reciprocity ceiling	RBC30.9
	•Twelve-month pre-announcement for increases, immediate effect for decreases 12 months pre-announcement · immediate effe...	RBC30.11
	•Bank-specific countercyclical buffer must be met with CET1 0% to 2.5% of total RWA · CET1 only	RBC30.12

•Definition of private sector credit exposures for the countercyclical buffer	RBC30.13
•Countercyclical buffer weights are credit risk charge shares by jurisdiction $\text{weight} = \text{jurisdictional credit risk charge} \dots$	RBC30.14
•Illustrative conservation bands under a 2.5% countercyclical requirement $4.5\%-5.75\% \rightarrow 100\% \cdot 5.75\%-7.0\% \rightarrow 80\%$	RBC30.18
•Countercyclical buffer must be calculated and disclosed at minimum-capital frequency	RBC30.19
▼ Systemic surcharges	2
•G-SIB higher loss absorbency must be met with CET1 only	RBC40.1
•D-SIB higher loss absorbency must be met fully by CET1	RBC40.8
•Minimum capital conservation ratios by CET1 band $4.5\%-5.125\% \text{ CET1} \rightarrow \text{conserve } 100\% \text{ of earnin} \dots$	RBC30.4
•Conservation standards recalculated at each distribution date	RBC30.4
•Worked example: 80% earnings conservation in the second buffer quartile $5.125\%-5.75\% \text{ CET1} \cdot 80\% \text{ of earnings conserv} \dots$	RBC30.4
•CET1 used for the buffer test excludes CET1 needed for Tier 1 and Total capital minimums $4.5\% \text{ minimum CET1} \cdot 6\% \text{ Tier } 1$	RBC30.4
•Private capital raising as an alternative to conserving earnings	RBC30.4
•Definition of items subject to the distribution restriction	RBC30.5
•Already-declared and removed dividends are exempt from the restriction $3 \text{ cumulative conditions}$	RBC30.5
•Definition of earnings for the conservation calculation	RBC30.5
•Buffer regime applied at the consolidated level	RBC30.5
•Supervisors may impose time limits on operating in the buffer range	RBC30.5
•Interbank and public sector exposures excluded from the buffer weighting	RBC30.13
•Conservation ratios by quartile of the extended buffer $1\text{st quartile} \rightarrow 100\% \cdot 2\text{nd quartile} \rightarrow 80\%$	RBC30.17
•Banks should hold buffers above the regulatory minimum outside stress	RBC30.20
•Earnings retention should increase the closer capital is to the minimum	RBC30.22
•Rebuilding depleted buffers by reducing discretionary distributions	RBC30.21
•G-SIB designation cutoff and higher loss absorbency calibration $130 \text{ bps cutoff score} \cdot 100 \text{ bps bucket width}$	RBC40.4
•G-SIB higher loss absorbency requirements by bucket $\text{bucket } 5: 3.5\% \text{ of RWA} \cdot \text{bucket } 4: 2.5\%$	RBC40.4
•G-SIB and D-SIB surcharges are not additive	RBC40.19
Transitional arrangements	0 not yet extracted
▼ Constraints that cut across the book	70
▼ Leverage ratio	8
•3% minimum leverage ratio at all times $3\% \text{ minimum leverage ratio}$	LEV20.7
•Definition of the leverage ratio	LEV20.3
•Numerator is Tier 1 capital	LEV20.4
•Four components of the leverage ratio exposure measure	LEV20.5
•Quarter-end calculation of both measures $\text{quarter-end (quarterly) calculation frequen} \dots$	LEV20.6
•Optional more frequent (daily/monthly average) calculation subject to supervisory approval $\text{daily or monthly averaging}$	LEV20.6
•Leverage ratio as non-risk-based backstop	LEV20.1
•Leverage must capture both on- and off-balance sheet sources	LEV20.2
▼ Liquidity coverage ratio	11
•Purpose of the LCR: survive a 30-calendar-day liquidity stress 30 calendar days	LCR20.1
•LCR stress scenario includes unscheduled draws on committed but unused credit and liquidity facilities	LCR20.2
•LCR stress scenario includes run-off of a proportion of retail deposits	LCR20.2
•LCR is a minimum; banks must run their own longer-horizon stress tests	LCR20.3
•LCR has two components: stock of HQLA and total net cash outflows	LCR20.4
•Minimum LCR of 100% $100\% \text{ minimum LCR} \cdot 30 \text{ calendar days}$	LCR20.5
•Net cash outflows measured over 30 calendar days 30 calendar days	LCR20.5
•HQLA may be used in stress, allowing the LCR to fall below 100% 100%	LCR20.5
•Supervisory response to a reported LCR below 100% must be proportionate 100%	LCR20.6
•LCR must be reported at least monthly with capacity for weekly or daily $\text{at least monthly} \cdot \text{weekly or daily in stress}$	LCR20.7
•Immediate notification if LCR has fallen or is expected to fall below 100% 100%	LCR20.8
▼ Large exposures and concentration	51
•Pillar 1 capital assumes infinitely granular portfolios and ignores concentration risk	LEX10.2
•Large exposures framework applies at every tier of the banking group	LEX10.4
•Framework binds all internationally active banks; jurisdictions may be stricter	LEX10.5
•National discretion to extend the framework to smaller banks with a different approach	LEX10.5
•Aggregate all third-party exposures across the consolidation group against group Tier 1	LEX10.6
•All counterparties are in scope; only sovereigns are exempt	LEX10.7
•Any exposure type not explicitly exempted is fully subject to the limit	LEX10.7
•Large exposure limit: 25% of Tier 1 capital at all times $25\% \text{ of Tier } 1 \text{ capital}$	LEX20.1
•Tighter 15% limit for G-SIB exposures to another G-SIB $15\% \text{ of Tier } 1 \text{ capital}$	LEX20.1
•Capital base for the limit is Tier 1 capital as defined in CAP10.2	LEX20.2
•Limit breaches must be exceptional, immediately reported and rapidly rectified	LEX20.3
•Report exposure values both before and after credit risk mitigation	LEX20.4

•Report all exposures at or above 10% of Tier 1 capital	10% of Tier 1 capital	LEX20.4
•Report exposures at or above 10% of Tier 1 measured gross of CRM	10% of Tier 1 capital (gross of CRM)	LEX20.4
•Report exempted exposures at or above 10% of Tier 1 capital	10% of Tier 1 capital	LEX20.4
•Report the 20 largest counterparty exposures irrespective of size	largest 20 exposures	LEX20.4
•Exposure scope covers on- and off-balance sheet, banking and trading book		LEX30.1
•Exposures deducted from capital are excluded from the limit		LEX30.2
•1,250% risk-weighted exposures remain subject to the limit	1,250% risk weight	LEX30.2
•Only standardised-approach eligible CRM counts for large exposures		LEX30.7
•IRB-only collateral cannot reduce large exposure values		LEX30.8
•CRM used for capital purposes must also be recognised for large exposures		LEX30.9
•Maturity mismatch hedges: one-year original and three-month residual thresholds	original maturity >= 1 year · residual matu...	LEX30.10
•Maturity mismatch adjustment mirrors the risk-based capital calculation		LEX30.11
•On-balance sheet loan-deposit netting may be used for large exposures		LEX30.12
•Amount by which the original counterparty exposure is reduced		LEX30.13
•Supervisory haircuts mandatory; internally modelled haircuts prohibited		LEX30.13
•Substitution: a new exposure to the CRM provider must be recognised		LEX30.14
•Trading book and banking book exposures to the same counterparty must be summed		LEX30.15
•Netting across banking and trading books is prohibited		LEX30.29
•Sovereign and central bank exposures are exempt from the framework		LEX30.31
•Sovereign-guaranteed or sovereign-collateralised portions are excluded		LEX30.31
•Entities linked only through an exempt sovereign need not be grouped		LEX30.32
•Exempt sovereign exposures must still be reported when large	10% of Tier 1 capital	LEX30.33
•Hedging an exempt exposure creates a live exposure to the protection provider		LEX30.34
•Intraday interbank exposures are outside the framework		LEX30.35
•Supervisors may accept an ex post breach of an interbank limit in stress		LEX30.36
•Exposures through funds, securitisations and other structures must be assigned to counterparties		LEX30.41
•No look-through required where each underlying is below 0.25% of Tier 1	0.25% of Tier 1 capital	LEX30.42
•Test is automatically passed if the whole investment is below 0.25% of Tier 1	0.25% of Tier 1 capital	LEX30.42
•Mandatory look-through for underlying assets at or above 0.25% of Tier 1	0.25% of Tier 1 capital	LEX30.43
•Partial look-through is permitted for sub-threshold underlyings	0.25% of Tier 1 capital	LEX30.43
•Unidentifiable underlyings: structure or unknown client depending on 0.25% test	0.25% of Tier 1 capital	LEX30.44
•All unknown exposures aggregate into a single counterparty subject to the limit	25% of Tier 1 capital (unknown client bucke...	LEX30.45
•Look-through decision must not be driven by regulatory arbitrage		LEX30.46
•Exposure to a structure without look-through is the nominal amount invested		LEX30.47
•Look-through exposure value is the pro rata share of each underlying asset	1% share x asset value 5 = 0.05 exposure (w...	LEX30.48
•Tranched structures: lower of tranche value and underlying nominal, then pro rata		LEX30.49
•Third parties may be an additional risk factor inherent in a structure		LEX30.50
•Investments sharing a common risk factor form a group of connected counterparties	25% of Tier 1 capital (aggregate across str...	LEX30.51
•Exposure assigned to each of multiple third-party risk drivers		LEX30.52
▼ Supervisory review – Pillar 2		0 not yet extracted
└─ Credit risk management and provisioning		0
└─ Concentration risk		0
└─ Interest rate risk in the banking book		0
└─ Liquidity monitoring metrics		0
└─ Stress testing and ICAAP		0
└─ Disclosure – Pillar 3		0 not yet extracted
└─ Scope and proportionality		0 not yet extracted